

PART II

The Circle Is the Plumbing. The Terms Are the Risk.

In the fortnight since Part I, the equity market repudiated the AI scare and the disclosure record moved decisively the other way. Nvidia crossed the line from equity owner to guarantor. Microsoft extended asset lives and re-plumbed its leases in a way that lowers reported capex by \$15bn without changing a dollar of real investment. Both were the events we said to watch for, and both happened inside two weeks.

DATA AS AT THE 11 AUGUST 2026 CLOSE • BALANCED ASSESSMENT; VIEW STATED IN §6 • PREPARED FOR INTERNAL DISCUSSION

Grey panels mark material carried forward from Part I. Everything outside them is new or revised since 29 July.

BOTTOM LINE

- **Two of the eight monitorables set out in Part I resolved, both toward the bear case.** On 11 August Nvidia disclosed, in a signed CEO communication, that it "may provide a residual-value support mechanism for **up to 25% of an opportunity**." Its January 10-K had stated it had entered into *no* financing arrangements. On 29 July Microsoft extended data-centre and building useful lives from 15 to 25 years and shifted future leases from finance to operating treatment — cutting reported CY2026 capex from ~\$190bn to ~\$175bn with no change to the underlying build.
- **The equity market went the opposite way, violently.** 29 July was the trough, not the start. The Nasdaq-100 is +6.4% since and has exited correction; Microsoft rose 15.5% in a single session, the largest one-day market-value gain on record; Korea's KOSPI tripped back-to-back circuit breakers on 28-29 July and then posted its largest one-day gain ever on 31 July. Nvidia retook the most-valuable-company title on 31 July and sits at \$5.27trn.
- **Index credit did not transmit; idiosyncratic credit did.** US high-yield OAS *tightened* from 287bp to 270bp over the window and investment grade from 81bp to 78bp. Meanwhile Oracle's five-year CDS printed a record above its 2008 peak, Nvidia's credit-risk gauge nearly doubled in under three weeks, and CoreWeave's new GPU-backed term loan cleared 110-125bp wide of talk with a maintenance covenant attached. The market is discriminating between counterparties rather than repudiating the theme. That is healthier than 1999 — and it is also what mid-2000 looked like.
- **The structural case for the reciprocity is unchanged and, if anything, stronger.** Nvidia is now rationing its own product against memory supply, cutting Rubin Ultra's mainline HBM configuration from 288GB to 192GB. Texas is auditing a 474GW interconnection queue that is roughly five times the state's record peak load. Capital is not the scarce input; it is the only abundant one.
- **Our view is unchanged in direction and firmer in emphasis: underwrite the compute demand, discriminate ruthlessly among the funders.** The 25% residual-value mechanism is the crux. In structured credit a 25% first-loss piece is not a garnish — it is the entire equity tranche of most deals. Whether the co-investors are truly underwriting independently is now the central empirical question, and it will be answered in spreads, not in press releases.

1 WHAT CHANGED, 29 JULY TO 11 AUGUST

Nvidia crossed the line — twice, in 48 hours

On **10 August** Nvidia announced memoranda of understanding with Apollo, BlackRock, Blackstone, Brookfield, Goldman Sachs and KKR to establish "independent compute financing platforms" mobilising **over \$500bn of third-party capital over time**. The release is explicit that these are MOUs "subject to execution of the final agreements," and that the \$500bn is neither Nvidia revenue nor a commitment to a single customer. Nvidia filed no 8-K; the announcement exists as a press release and a CEO blog post. Huang's framing was the same one he has used since November: "*In AI, compute is revenue.*"

The following day Huang published a post pre-empting the obvious criticism under the heading "Is this circular financing?" — and, in answering it, disclosed the thing that matters.

THE DISCLOSURE THAT RESOLVES MONITORABLE #1

"In some cases, NVIDIA may provide a **residual-value support mechanism for up to 25% of an opportunity**, assessed carefully on a project-by-project basis. That support is limited, residual-value based and designed to complement — not replace — independent underwriting. **This is substantially lower than other compute-financing arrangements.**" — Jensen Huang, 11 August 2026. Compare the FY2026 10-K, filed for the year to 25 January: "*We have been asked to offer financing arrangements to support our customers' buildout. We have not entered into any financing arrangements.*" The disclosed cap on all facility-lease guarantees at the April quarter was **\$3.5bn**. The final clause of Huang's sentence is also an admission that larger supplier-support structures exist elsewhere in the complex; he does not say whose.

Two readings are available and we hold both. The charitable one is that Nvidia has done what a rational, well-capitalised supplier should: replaced an ad-hoc, opaque, bilateral guarantee with a standardised, syndicated, third-party-underwritten platform in which its own participation is capped and disclosed — a genuine improvement on the reported ~\$250bn Ohio backstop, which **was neither confirmed nor denied during the window and remains unresolved**. The sceptical reading is that a 25% residual-value first-loss position is precisely the tranche that determines whether the senior paper prices, and that calling the remaining underwriting "independent" while providing the first-loss is a distinction the ratings process will have to test, not accept.

Microsoft changed the denominator

On the 29 July call, CFO Amy Hood disclosed that effective FY2027 Microsoft is **extending the estimated useful life of its data centres and office buildings from 15 to 25 years**. Server and network equipment is unchanged at two to six years, so this is not the GPU-life event the bears have been waiting for. The second half of her sentence is the consequential part: "*The greater impact is on capital expenditures, as more of our future data center leases will shift from finance leases to operating leases... Finance leases are included in capital expenditures, while operating leases are not.*" Reported calendar-2026 capex falls from roughly \$190bn to roughly \$175bn with no change to the underlying investment. In the same 10-K, **leases signed but not yet commenced rose to \$329.1bn from \$92.7bn a year earlier** — a 3.5× increase in twelve months, on no balance sheet.

The practical consequence for us is unglamorous but important: **reported hyperscaler capex is no longer comparable year-on-year or across issuers**. Any aggregate series spanning FY26 and FY27 now mixes two definitions. We should track cash capex plus finance-lease principal plus the change in uncommenced lease commitments, and say so when we quote a number.

Prices went one way, terms went the other

TABLE 1 — THE FORTNIGHT, 28 JULY TO 11 AUGUST 2026

MARKET	28 JUL	11 AUG	Δ	NOTE
Nasdaq-100	27,763	29,525	+6.4%	Correction exited; -3.7% vs 2 Jun record
PHLX Semiconductor	11,036	12,098	+9.6%	Still -17.4% from its high
KOSPI	6,024	6,346	+5.3%	Still -30.4% from its 22 Jun peak
Nvidia	\$197.01	\$217.50	+10.4%	\$5.27trn; retook #1 from Apple on 31 Jul
Microsoft	\$393.35	\$503.81	+28.1%	Azure +43%; RPO \$678bn, +84% y/y
Oracle	\$119.96	\$145.48	+21.3%	5yr CDS at a record above its 2008 peak
CoreWeave	\$67.30	\$90.32	+34.2%	Q2 net loss widened 116% to -\$626m
ICE BofA US high-yield OAS	284bp	270bp	-14bp	Peaked 287bp on 29 Jul, then tightened
ICE BofA US investment-grade OAS	81bp	78bp	-3bp	No systemic transmission

Index spread series are to 10 August, the latest FRED observation. Nvidia's five-year CDS has no verifiable printed level after the record 82bp of 27 July; press reporting describes the gauge as having nearly doubled in under three weeks, peaking around 10 August and easing after Huang's 11 August clarification, with one 12 August report still describing spreads as near record. Treat the direction as established and the level as unverified.

Underneath the index calm, the terms of new money tightened materially. CoreWeave's \$2.6bn first-lien delayed-draw term loan cleared on 31 July at **SOFR+550 with an original issue discount of 97, a 10.44% yield**, against initial talk of SOFR+425-450 at 99 — roughly 110-125bp of flex plus two points. Lenders extracted a **1.35× DSCR maintenance covenant and a \$112.5m minimum-liquidity test**; maintenance covenants have not featured in large syndicated technology loans for years. A second \$2.6bn facility followed on 7 August at the same spread. CoreWeave's March facility priced at SOFR+225 with an A3 rating: **325bp of widening on the same collateral in five months**, driven by offtaker credit quality, not by hardware.

Morgan Stanley put numbers on it on 6 August: investment-grade-rated data-centre secured bonds are 40bp wider since mid-June and their high-yield counterparts 120bp wider, while the broad indices tightened. Two of the last three data-centre CMBS deals had to widen from initial price talk to clear, including KKR-backed CyrusOne Holdco and Blackstone-backed QTS Realty. Against that, Alphabet's \$25bn ten-part deal on 6 August drew ~\$115bn of orders and was upsized. **No deal was pulled in the window.** Stress is showing up as price flex, document tightening and covenant reinstatement — not as failed transactions. That is the correct sequence, and it is early rather than late in it.

2 WHAT THE CHART SHOWS, AND THE FOUR THINGS THAT WORRY US

FRAMEWORK CARRIED FORWARD FROM PART I §2 — THE FOUR MECHANISMS ARE UNCHANGED; THE FIGURES BELOW ARE UPDATED TO 11 AUGUST

Bloomberg's circular-deals map has two flows that matter: hardware moving out from the suppliers, and money moving in to the buyers, frequently between the same two parties. The structure is set out in Part I and is unchanged. What the fortnight added is three further Anthropic structures: a data-centre platform joint venture with Macquarie Asset Management and GIC in which the managers fund most of the equity and Anthropic is anchor tenant; a \$9.1bn, 191MW, twenty-year lease at Riot Platforms' Rockdale campus; and a reported ~\$10bn six-year compute agreement with Volta, an Nvidia-backed cloud startup founded this year.

The Riot lease contains the sentence that should be read twice. Morgan Stanley is providing a **\$573m interim facility to fund initial development "while the investment-grade credit backstop is finalized."** Riot names the tenant only as "one of the world's leading frontier AI labs." Neither the identity of the tenant nor the identity and form of the investment-grade backstop is disclosed. That is the entire mechanism of this cycle in one clause: an unrated counterparty's obligations made financeable by an undisclosed third party's balance sheet.

i. Revenue you funded yourself is not independent evidence of demand

Not that the transactions are fake — that the marginal buyer's ability to pay was partly created by the seller, so the order book is not a clean read on end demand. Nvidia's Q1 FY2027 GAAP net income of \$58.3bn exceeded its operating income of \$53.5bn because \$13.4bn of unrealised gains on listed stakes flowed through below the line. Cumulative gross unrealised gains on non-marketable securities stand at \$2.7bn against cumulative impairments of \$176m — a 15:1 asymmetry that cannot survive a drawdown. Microsoft's FY26 accounts include **\$6.5bn of net gains from OpenAI investments**, chiefly a dilution gain on the recapitalisation, against a \$4.8bn net loss the year before.

Torsten Sløk put the point in its cleanest form on 7 August: the silicon-and-equipment layer of the AI value chain runs a **+41% operating margin** while the models-and-applications layer runs **−59%**. The most profitable part of the chain depends entirely on the least profitable part continuing to grow revenue or raise capital.

ii. Concentration dressed as diversification

TABLE 2 — COUNTERPARTY AND FUNDING CONCENTRATION, AS FILED

DISCLOSURE	FIGURE	PERIOD / SOURCE
Nvidia — two direct customers, share of revenue	36%	FY2026 10-K
Nvidia — three direct customers, share of receivables	64%	Q1 FY2027 10-Q, from 56% q/q
Oracle — remaining performance obligations	\$638bn	FY2026; ~half OpenAI per S&P
Oracle — market capitalisation, for scale	\$419bn	11 Aug close, after a 21% rally
Microsoft — leases signed, not yet commenced	\$329.1bn	FY2026 10-K, from \$92.7bn
Meta — maximum exposure to loss, data-centre VIE	\$46.0bn	Q2 10-Q; carrying value \$2.9bn
Meta — residual value guarantees, aggregate threshold	~\$41bn	Incl. new El Paso vehicle; no liability recorded
CoreWeave — total debt vs shareholders' equity	\$35.1bn / \$5.0bn	30 Jun 2026

Meta's disclosure is the most consequential single filing of the window. It is not the primary beneficiary of the venture and does not consolidate; parties are committed to fund ~\$27bn of development costs; Meta's leases do not commence until 2029; and residual value guarantees carry an aggregate threshold of ~\$28bn on the existing vehicle plus ~\$13bn on a new El Paso structure disclosed as a subsequent event — with, in the company's words, "no liability recorded to date" because payment is not probable. Independent reconciliations of off-balance-sheet obligations across the five largest hyperscalers put the aggregate near \$1.65trn: Meta ~\$420bn, Alphabet ~\$408bn, Microsoft ~\$339bn, Oracle ~\$273bn, Amazon ~\$210bn. Those are analyst constructions from filings, not disclosed totals.

iii. Free cash flow is where it bites first

Meta's Q2 operating income fell 8% on a 28% revenue increase, taking the operating margin from 43% to 31%; free cash flow collapsed to **\$784m from \$8.5bn**, a 91% decline, and long-term debt rose to \$83.7bn from

\$58.7bn at year-end. Amazon raised 2026 cash capex guidance to ~\$220bn and now runs a trailing free cash outflow of \$7.6bn, driven by a \$66bn year-on-year increase in property and equipment purchases — while AWS grew 37%, its fastest in eighteen quarters, with a \$496bn backlog. Microsoft's own quarterly free cash flow fell 23%. The pattern is uniform: the revenue is real, accelerating, and cash-consumptive.

iv. Disclosure quality is deteriorating at the margin

Microsoft's FY2026 audit, with \$34.3bn of depreciation, \$313bn of net property and equipment and \$329bn of uncommenced leases, carries a **single critical audit matter — revenue recognition**. None on useful lives, depreciation, data-centre impairment, lease classification or the OpenAI stake. Applied Digital, a \$9.9bn-asset data-centre developer with \$2.8bn of construction in progress, reports **zero** critical audit matters. Nvidia disclosed a \$500bn financing initiative without an 8-K. Vertiv, a core power and cooling supplier, disclosed no orders, no backlog and no book-to-bill for Q2 — a change in practice, not a bad number, but the absence is the datapoint. Michael Burry, whose 2025 attack was built on depreciation schedules, spent the window arguing a different case entirely: "off-balance sheet liabilities, backstops, uncommenced leases, purchase commitments." We think he has moved to the better argument, which is the one Part I made a fortnight ago.

Against that, the one clear institutional response: on **5 August the SEC established a Financial Reporting and Accounting Unit within its Division of Enforcement**, dedicated to accounting and financial-reporting fraud. No comment-letter campaign on AI infrastructure has appeared — a full sweep of the 171 staff letters released in the window found none. Cutting the other way, on 10 August the SEC **exempted certain data-centre bonds from risk-retention rules**.

3 WHY THE RECIPROCITY IS NONETHELESS NECESSARY

Capital is the only abundant input, and the window proved it again

The strongest single datapoint of the fortnight is that **Nvidia is rationing its own product**. From early in the third quarter it began evaluating 8-high HBM4E, 12-high HBM4 and 8-high HBM4 against the original 12-high HBM4E baseline for Rubin Ultra, taking the mainline configuration from 288GB to 192GB with FLOPS unchanged, and it has already halved SOCAMM capacity on Vera Rubin modules because LPDDR5X is constrained through 2027. Samsung guides HBM4 revenue to triple in the third quarter, expects the market undersupplied through the second half and warns of a crunch into 2028; SK Hynix has HBM, DRAM and NAND essentially sold out for 2026 and board-approved KRW 54.3tn of new fabs whose first cleanrooms arrive in 2028 and 2029. Siemens Energy shipped 6GW of gas turbines against a 69GW backlog with lead times of three years or more. A company that could sell more, cannot.

The constraint rotated again — power is back, via politics

Part I said power pressure was easing at the margin. That is no longer right. On **3 August Texas Governor Abbott directed the PUCT and ERCOT to audit every data centre in the interconnection queue**, with any project failing the audit to be denied; ERCOT immediately suspended its classification notices. The queue is roughly **474GW, about 90% data centres, more than five times the state's record peak load of 91.3GW**. BNEF estimates the pause could delay 49.8GW, around 20% of the US pipeline. PJM filed for a one-time reliability backstop auction to fill a 6,831MW shortfall — the first RTO-wide shortfall — with the price cap raised from \$325 to **\$555/MW-day**. Exelon cut its "high-probability" data-centre load by 40% to 11GW. Amazon withdrew a ~500MW Maryland campus.

Read this carefully, because it cuts both ways. The queue purge is *bullish* for the assets already energised and for anyone holding scarce interconnection, and it confirms that headline gigawatt pipelines are the wrong denominator for almost any purpose. It is *bearish* for the 2028-30 supply forecasts that several 2026 financings are underwritten against, and it introduces a political risk factor that no discounted cash flow in this sector currently carries.

The scale is now measurable against history, and it is real

Sløk's 6 August work is the cleanest framing available. Consensus hyperscaler capital expenditure runs at approximately **3% of US GDP every year from 2027 to 2029**, against 0.3% in 2019 and 1.4% in 2025. Telecommunications peaked at 1.2% in 2000; residential housing at 6.6% in 2005. Data-centre capex is adding roughly 0.85 percentage points of GDP a year, against housing's fastest 0.5. His conclusion is the right one and is not a bubble call: a cycle that builds at that rate can unwind at that rate, and the unwind — not the buildout — is the macro risk. For the labs, compute is cost of goods sold rather than capital expenditure; under-buying is directly foregone revenue in the current period, which is why over-committing is individually rational for every participant even where it is collectively hazardous.

4 THE HISTORICAL SCORECARD

RECAP — CARRIED FORWARD FROM PART I §4, UNCHANGED

Every comparable episode resolved the same way: the asset gets used, the economy wins, the funders lose. British railway mileage went from 2,044 in 1843 to 10,433 by 1860 with no abandonment and revenue up 2.8×, and yet revenue per mile *fell* 23% between 1845 and 1850 as marginal mileage was pushed into thinner traffic; equity fell 64% against a 10% return expectation. Fibre delivered a 90–99% fall in bandwidth cost and built the entire cloud economy; equity lost 96–100%, high-yield recoveries were 16 cents, and Cogent acquired \$14bn of assets for \$60m.

TABLE 3 — WHAT DISCRIMINATED THE OUTCOME FOR FUNDERS

CYCLE	CAPITAL STRUCTURE	EQUITY DRAWDOWN	RECOVERY
UK railways, 1840s	Near-all equity; charters capped borrowing. Peak-year investment 7.3% of GDP	–64%	From 1850
Utility holding companies, 1920s	Six layers, ~18:1, bonds and guaranteed preferred at every level	–92.7%	34 years
Radio, 1920s	Mostly equity at RCA; value migrated to the franchise	–98%	Decades
Telecom and fibre, 1996–2002	>\$500bn of capex, mostly debt; ~\$1trn industry debt stock	–96 to –100% Never, for the original entities	

The Railway Mania is the control experiment. At 7.3% of GDP in 1847 it was several times more intense than peak US telecom investment, and it produced a –64% drawdown with no systemic default wave. **Scale did not determine severity; capital structure did.** Insull's utilities are the mirror image: electric utility revenue fell only 6% in the worst depression on record and the equity still fell 92.7% and took until 1963 to recover, because fixed charges at every layer absorbed the entire operating margin.

The most transferable insight is subtler than debt-versus-equity. Railway shares were subscribed on a ~5% deposit with the remaining 95% callable at the directors' discretion, and subscribers were *legally liable* for the calls. Nominal equity funding plus enforceable forward commitments is functionally leverage — which is why UK railway capital formation peaked *two years after* share prices did. Investors could not stop. The 2026 equivalents are Microsoft's \$329bn of uncommenced leases, Meta's \$41bn of residual value guarantees and \$46bn of maximum VIE exposure, Nvidia's \$95bn of supply commitments and \$27bn of cloud commitments, and Amazon's unconditional purchase obligations explicitly not reflected on the balance sheet. **The cancellability terms of the largest compute contracts remain disclosed nowhere.**

TABLE 4 — SCORING THE CYCLE AGAINST THE TESTS THAT MATTERED HISTORICALLY

TEST	VERDICT	EVIDENCE, UPDATED TO 11 AUGUST
Funded from the owner's own cash flow	Deteriorating	Meta FCF \$784m (–91%); Amazon trailing FCF –\$7.6bn on ~\$220bn guided capex; Microsoft FCF –23%. Passes on leverage ratios, fails on cash generation.
Paying customers at scale before the build	Fails, less badly than 1999	Sløk's identity: +41% margin upstream, –59% downstream. "Real but unprofitable" beats "revenue-less" — but the revenue still does not cover the commitments.
Asset life vs obsolescence	Leans favourable	No hyperscaler shortened server or GPU lives in any filing in the window. Nvidia argues A100 economic life is extending toward a decade. Microsoft <i>lengthened</i> building lives.
Pricing power at the point of sale	Yes, still	No verified decline in GPU rental rates. BNEF now values AI compute at ~\$1.76bn/GW/month against ~\$175m for conventional colocation. But contracted revenue is not pricing power: Equinix has take-or-pay leases and a 3.8–5.3% ROIC.
Cost of capital for the marginal builder	Turned	CoreWeave SOFR+225 (Mar) to SOFR+550 with a maintenance covenant (Jul/Aug). Data-centre IG secured +40bp and HY +120bp since mid-June while indices tightened.
Disclosure quality as a leading indicator	Fails	Capex definition changed mid-cycle; a \$500bn initiative announced without an 8-K; one CAM at Microsoft and none at Applied Digital; Vertiv withdrew backlog disclosure; cancellability still undisclosed.

5 MONITORABLES, RESTATED WITH STATUS

- Vendor support: RESOLVED, adversely.** Nvidia has moved from owner to partial guarantor at up to 25% residual value. Next question is narrower and more useful: what fraction of each platform's capital stack does the 25% actually represent, how are the ratings assigned, and does any tranche price only because of it? Watch the first rated transaction out of the Apollo/BlackRock/Blackstone/Brookfield/Goldman/KKR platforms.
- The Ohio backstop: UNRESOLVED.** The ~\$250bn guarantee reported on 26–27 July was neither confirmed nor denied in the window, and no source addresses whether the \$500bn platform subsumes, replaces or sits alongside it. Nvidia reports Q2 FY2027 on **26 August** — the first opportunity for management to be asked directly.

3. **Useful lives: PARTIALLY RESOLVED, both ways.** Microsoft extended buildings 15→25 years; no hyperscaler changed server or GPU lives in any filing in the window; TeraWulf *shortened* lives on certain assets and took \$14.5m of accelerated depreciation in the first half. Server lives remain the event that matters. Confirming market signal unchanged: H100 neocloud rates breaking below \$2.00/hr.
4. **Terms, not size.** The 1999 tell was Nortel financing up to 130% of equipment cost, unsecured, tied to future purchases. The 2026 version to watch is whether penny warrants and undisclosed "investment-grade credit backstops" — as in the Riot lease — propagate down the credit curve to weaker tenants.
5. **Backlog conversion and duration.** CoreWeave's backlog reached \$104bn at 30 June and a reported \$129bn by 11 August against \$12.4–13.2bn of revenue guidance, with contracts longer than 48 months rising from 10% to 21% of the mix. Oracle's \$638bn stands until September. Watch whether backlog keeps outgrowing the revenue behind it.
6. **First crystallisation events.** Still none — no default, missed payment, covenant breach, distressed exchange or going-concern warning anywhere in the neocloud or data-centre developer universe, and no BDC disclosed a data-centre or GPU markdown. The first stake impairment, the first onerous-contract charge and the first disclosure of cancellation provisions remain the events to wait for.
7. **The credit tape, not the equity tape.** The divergence between tightening index spreads and widening idiosyncratic AI spreads is the single most informative live signal. Oracle at a record CDS above its 2008 peak while its equity rallies 21% is not a stable configuration; one of the two is wrong.
8. **Investor tolerance for capex, and now rates.** Meta fell 8% on capex on 29 July; Microsoft rose 15.5% on Azure the next day. Tolerance is intact but conditional on revenue acceleration — and the rate path has turned against the build, with the market pricing a September *hike*.

6 OUR VIEW

RECAP — THE STANDING CONCLUSION FROM PART I §6

We do not think this is Enron and we do not think it is Lucent. The nearest analogue remains 4G: real demand, real continuous consumption, asset lives that are probably adequate, funding that is still majority-internal at the top of the stack, and a serious unresolved question about whether the party writing the cheques is the party that gets paid. The instrument difference from 1999 is real. Equity stakes wipe out through non-operating income rather than reversing through revenue, which makes the eventual damage less violent — and also slower to appear in the numbers that trigger a repricing.

What the fortnight added is a sharper sense of where the fault line runs. It is not between "AI is real" and "AI is a bubble"; both are now well evidenced and the market has stopped treating them as alternatives. It runs between counterparties — a market beginning to price idiosyncratic risk correctly, which is a good sign about the market and a bad sign about the issuers being priced.

Our position is therefore unchanged in direction and firmer in emphasis. Underwrite the compute demand: the evidence of physical scarcity got stronger in the window, and a supplier rationing its own flagship product against memory supply is not a demand problem. Do not underwrite the funders indiscriminately. In a network overbuild with high fixed cost, near-zero marginal cost and undifferentiated output, competition transfers the productivity gain from asset owners to users, and to a concentrated set of second-generation firms that buy the assets at post-bankruptcy basis. Google bought its dark fibre in 2005. Someone will be that buyer this cycle, and on the historical record it will not be the entity that funded the build.

We would change our mind on filed evidence, not narrative. **Toward the bear case:** a hyperscaler shortening *server* lives; H100 spot rentals below \$2.00/hr; the first onerous-contract charge on a compute commitment; or a senior tranche in an Nvidia-supported platform that visibly prices off the 25% residual guarantee rather than off the offtaker. **Toward the bull case:** capex discipline arriving voluntarily and being rewarded; audited gross-margin-positive inference disclosed at scale; and the commitment stack converting to revenue on schedule rather than being renegotiated. The discipline the railway record teaches: being right that an overbuild is under way is not the same as being able to trade it. Lardner published the correct analysis in October 1846 and prices took another three years to bottom, while capital formation rose the whole way down, because the commitments were enforceable.

Sources. Primary: Nvidia press release and Huang blog post, 10–11 Aug; Nvidia FY2026 10-K and Q1 FY2027 10-Q; Microsoft FY2026 10-K and Q4 call, 29 Jul; Meta Q2 8-K and 10-Q; Amazon Q2; CoreWeave Q2 and DDTL 8-Ks; Alphabet notes 8-K, 10 Aug; Riot Platforms Q2, 10 Aug; Macquarie/GIC/Anthropic, 10 Aug; SEC release 2026-72, 5 Aug; Texas Governor's directive and ERCOT notice M-A080326-01, 3 Aug; PJM filing ER26-3380, 31 Jul; Samsung, SK Hynix, Kioxia and SanDisk quarterlies. Secondary: Apollo Daily Spark (Sløk), 6 and 7 Aug; Morgan Stanley data-centre credit note, 6 Aug; Bloomberg on Nvidia credit and CMBS pushback; PitchBook on the CoreWeave term loan; TrendForce on HBM and memory pricing; BNEF via POWER on the ERCOT audit; FRED for spreads and indices. Historical sources as per Part I.

Caveats and known gaps. Nvidia's five-year CDS has no verified printed level after 27 July; direction only. The ~\$250bn Ohio backstop was never company-confirmed and its status is unknown. Microsoft gave no dollar FY2027 capex guidance. Riot has not confirmed Anthropic as its counterparty, and the reported Anthropic-Volta agreement is single-sourced. Anthropic run-rate estimates above the disclosed \$47bn are third-party trackers. Frontier-lab margins and burn projections are press-reported, not audited. Off-balance-sheet aggregates by issuer are analyst reconstructions. Rating-agency and litigation negatives should be read as "not found," not "confirmed absent." Not investment advice.